



RESEARCH & INSIGHTS HUB

Tension and Transition

We're extending our constructive outlook to 2Q25, but suggest
investors take a neutral stance for now

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Recent weeks have compromised our faith in a more constructive outlook for 1Q25 (which we posited in December 2024), as liquidity conditions have tightened and uncertainty in the macro environment has eroded investor confidence. The consensus view appears to be largely negative here, as evidenced by the crypto market cap falling below pre-US election levels and perpetual futures' funding rates dropping sharply. Indeed, we think the speed and magnitude of this pullback has left many investors unsure of how to proceed.

Sentiment has been driven primarily by concerns over the precarious trajectory for economic activity, particularly after many investors overindexed to the US exceptionalism 2.0 narrative in recent months. For crypto specifically, the momentum for additional positive idiosyncratic catalysts also seems to have slowed down, making many market players anxious. However, we think the sour mood is a sign that markets could potentially find a floor in the next few weeks, leaving us in position to make new highs later in the year.

Global liquidity is starting to recover, while falling real and nominal rates should eventually help reduce borrowing costs. We also believe secular trends are likely to support global growth over the long haul. That said, we think that it'll be hard for crypto to stage a recovery before traditional risk assets do, so we're watching US equities closely for signs of capitulation. Earnings season (April) may give us a better gauge of how American consumers are faring, compared to survey data. We're extending our optimistic outlook to 2Q25, but suggest investors take a neutral stance on risk for now.

For more details, see our [full report](#).

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